RATING
Buy
PRICE TARGET
KES 102
PRICE, 31 MAR 2026
KES 69.00

The price assumes a 17% return on equity. Equity has not earned less than 21% in four years

KEY DATA

Price target (KES)	102
Upside to target	+47.8%
Market cap (KES bn)	260.4
Shares in issue (mn)	3,774
Book value / share (KES)	82.02
EPS FY25 (KES)	19.07
P/B	0.84x
P/E	3.6x
Dividend yield (FY25 DPS 5.75)	8.3%
ROE FY25	26.4%
Cost of equity	18.9%

VALUATION SCENARIOS

	Bear	Base	Bull
ROE	18.0%	**22.0%**	25.0%
Cost of equity	20.9%	**18.9%**	16.9%
Growth	5.0%	**6.0%**	6.5%
Justified P/B	0.82x	**1.24x**	1.78x
Value (KES)	67	**102**	146
vs price	-3%	**+48%**	+112%

Justified P/B = (ROE − g) / (COE − g), applied to FY25 book value per share.

ANALYST

Vivek Divecha
Independent research, Nairobi

Equity Group Holdings PLC

NSE: EQTY · Banking and financial services · Six-country franchise

We rate Equity Group a Buy on a justified price-to-book valuation

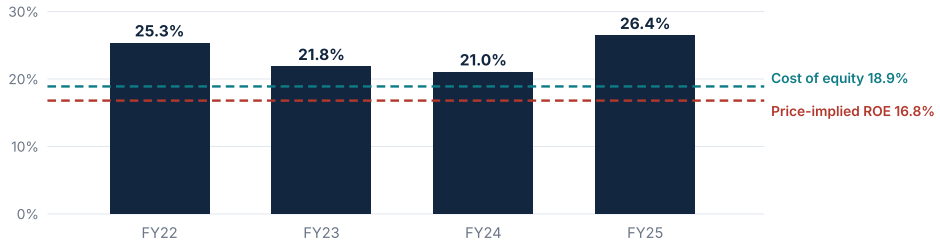
Call. We rate Equity Group a Buy with a price target of KES 102, 48% above the KES 69.00 close on 31 March 2026. The target is a justified price-to-book multiple of 1.24x on FY25 book value of KES 82.02, built from a normalised ROE of 22%, a cost of equity of 18.9% and long-run growth of 6%.

What the price implies. At 0.84x book and 3.6x earnings the shares are cheaper than Co-operative Bank and NCBA on both measures (KCB is cheaper still, at 0.66x and 3.3x), yet FY25 ROE of 26.4% was the highest of the four. Solving the justified P/B formula for ROE at today's price gives 16.8%, below our cost of equity. Equity's ROE has been between 21.0% and 26.4% in each of the last four years (Exhibit 1).

Earnings quality. FY25 profit before tax rose KES 31.4bn. Higher income accounts for about 76% of that, lower provisions 18% and lower operating costs 6%. We do not treat FY25 as a run-rate. Net interest income grew 16.8% while interest income grew only 2.0%; the difference was a 24.2% fall in interest expense as deposit costs eased. That is why the base case uses a 22% ROE and not 26.4%.

Risk. The case depends on credit costs staying near FY25 levels. Cost of risk fell from 4.2% in FY23 to 1.6%, and the gross NPL ratio of 11.5% is still above the 8.4% of FY22. In our bear case (ROE 18%, cost of equity 20.9%) the shares are worth about KES 67, so the downside there is roughly 3%.

Exhibit 1: ROE has stayed above both the cost of equity and the level the share price implies



Source: Company reports, analyst calculations. ROE = profit after tax / average total equity; FY22 uses closing equity.

Exhibit 2: Financial summary, FY2022 to FY2025 (KES mn unless stated)

	FY22	FY23	FY24	FY25
Total operating income	145,935	181,684	193,782	217,740
Operating expenses, excl. provisions	70,677	94,214	112,866	111,139
Loan loss provisions	15,414	35,590	20,176	14,486
Profit before tax	**59,844**	**51,879**	**60,740**	**92,115**
Profit after tax	**46,103**	**43,737**	**48,823**	**75,548**
RATIOS				
Return on equity	25.3%	21.8%	21.0%	26.4%
Cost-to-income (excl. provisions)	48.4%	51.9%	58.2%	51.0%
Cost of risk	2.0%	4.2%	2.2%	1.6%
Gross NPL ratio	8.4%	12.1%	13.6%	11.5%
Dividend per share (KES)	4.00	4.00	4.25	5.75

Source: Company reports, analyst calculations. Income and expense lines follow the Group's management presentation, which is the basis of its reported cost-to-income ratio. Cost of risk = provisions / average gross loans (FY22: closing loans).

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Equity Group Holdings PLC NSE: EQTY

BUY Target KES 102 · Price KES 69.00 · Upside +47.8%

01 Business overview

Equity Group Holdings is a Nairobi-listed financial services group built around Equity Bank. It began as a building society in 1984, became a commercial bank and listed on the Nairobi Securities Exchange in 2006. Today it runs banking subsidiaries across Kenya, Uganda, Tanzania, Rwanda, South Sudan and the Democratic Republic of Congo, alongside payments and fintech, insurance, investment banking and foundation activities. It serves mass-market, small-business and agricultural customers, mostly through digital channels.

22.4mn
customer accounts at FY25

KES 1.97tn
total assets, +9.2% on FY24

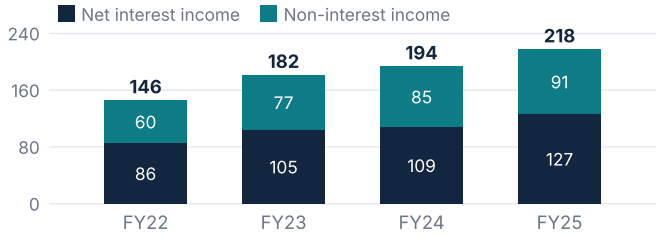
88.4%
of transactions through digital channels

~48%
of group PAT from regional banks (KES 36.3bn)

42%
of operating income is non-interest

Source: Company FY2025 results as reported by Citizen Digital (18 March 2026); analyst calculations. Regional share = KES 36.3bn of KES 75.5bn group PAT; Equity Bank Kenya contributed KES 39.2bn.

Exhibit 3: Operating income by source (KES bn)



Source: Company reports, analyst calculations.

Exhibit 4: Where the interest income comes from, FY25

KES mn	FY24	FY25	Share
Loans and advances	107,672	105,884	61.0%
Government securities	56,481	60,964	35.1%
Bank deposits and placements	5,514	5,963	3.4%
Other	618	827	0.5%
Total interest income	**170,285**	**173,638**	**100%**

Source: Company reports, analyst calculations. Gross loans / deposits was 65.7% at FY25, so a large part of the balance sheet sits in government paper.

02 Stakeholders

Stakeholder	Who / how much	What they care about and why it matters to the thesis
Shareholders	General public 72.1%; Arise B.V. 12.8%; Dr James Mwangi 3.4%; staff share scheme 3.2%; Fortress Highlands 2.7%	ROE, dividends and the re-rating from 0.84x book. The low payout (about 30% of EPS) gives room for the KES 5.75 dividend to grow.
Management	Dr James Mwangi, Group Managing Director and CEO	Delivering the diversified regional group strategy; keeping cost of risk and cost-to-income near FY25 levels.
Customers	22.4mn accounts; KES 1.46tn deposits	Cheap, stable deposits are the funding base. FY25 customer-deposit interest expense fell 26% to KES 35.7bn.
Regulators	Central Bank of Kenya, regional central banks, NSE, CMA	Policy rate path, capital and liquidity rules, and licensing in each market drive NII, funding cost and distributable capital.
Governments	Kenya and regional sovereigns as issuers	Government securities earned KES 61.0bn, 35% of interest income. Sovereign yields and credit standing feed directly into earnings.

Source: Simply Wall St ownership data (a current third-party snapshot, not as at 31 March 2026); company reports; Citizen Digital. Verify holdings against the latest share register before relying on them.

03 Competitors

Exhibit 5: Peer valuation at 31 March 2026

Bank	Price (KES)	EPS (KES)	P/E	BVPS (KES)	P/B	ROE	DPS (KES)	Yield
Equity Group	**69.00**	**19.07**	**3.6x**	**82.02**	**0.84x**	**26.4%**	**5.75**	**8.3%**
KCB Group	67.75	20.79	3.3x	103.16	0.66x	22.5%	7.00	10.3%
Co-operative Bank	27.00	5.04	5.4x	28.15	0.96x	19.1%	2.50	9.3%
NCBA Group	90.75	14.20	6.4x	77.36	1.17x	19.7%	7.10	7.8%
Peer median (three banks)			**5.4x**		**0.96x**	**19.7%**		**9.3%**

Source: Company reports, analyst calculations. Peer EPS, BVPS, DPS and ROE inputs have not all been independently re-verified. Equity ROE is on the model basis (PAT / average total equity).

Equity competes with the other large Kenyan banks on scale, and with regional banks and mobile-money and fintech lenders on retail reach. It earns the best return of the four (26.4% against a 19.7% median) yet trades at a 12% discount to the median on book and 32% on earnings. KCB is the only cheaper peer, and it earns four points less.

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04 SWOT analysis

STRENGTHS

- Highest ROE of the peer group: 26.4% in FY25 against a 19.7% median, and about 21% or more every year since FY22.
- Balanced income (42% non-interest) and a loan-to-deposit ratio of 65.7%, so liquidity is ample.
- Regional banks earned about 48% of group PAT, so the group is not tied to one economy.
- Digital reach: 22.4mn accounts and 88.4% of transactions through digital channels keeps the cost to serve low.

WEAKNESSES

- Gross NPL ratio of 11.5% is still well above FY22's 8.4%, and NPL coverage matters more than the headline.
- FY25 profit was helped by lower funding costs, lower provisions and flat costs. It is not a clean run-rate.
- Interest income on loans fell 1.7% in FY25; growth came from government paper and cheaper funding.
- Share price lagged the NSE 20 by 18 points in 2025 despite a 55% rise in PAT.

OPPORTUNITIES

- Re-rating: the price implies a 16.8% ROE against 21% or more delivered, so even modest delivery closes the gap.
- Credit growth: gross loans rose 6.6% in FY25 and the loan book is only 66% of deposits.
- Dividend growth: a payout of about 30% of EPS leaves room to raise the KES 5.75 DPS.
- Regional growth in the DRC, Uganda and Tanzania, where subsidiaries drove the FY25 profit rise.

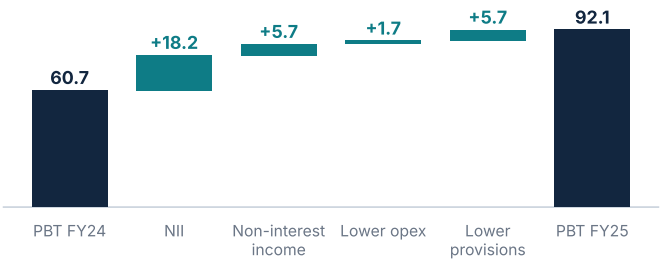
THREATS

- Credit costs returning towards FY23 levels (cost of risk 4.2%) would cut ROE sharply.
- Fading funding-cost tailwind: customer-deposit expense fell 26% in FY25 and cannot fall that far again.
- Sovereign risk and lower yields: 35% of interest income is government securities.
- Currency and political shocks across six markets; competition from banks and fintech lenders; regulatory change.

05 Earnings quality

FY25 PAT rose 54.7% to KES 75.5bn, but the mix of the rise matters more than the headline. Of the KES 31.4bn increase in profit before tax, KES 18.2bn came from net interest income, KES 5.7bn from non-interest income, KES 5.7bn from lower provisions and KES 1.7bn from lower operating costs. Income therefore explains about 76% of the rise and the recovery is not just a provisions release.

Exhibit 6: FY24 to FY25 PBT bridge (KES bn)



Source: Company reports, analyst calculations.

Exhibit 7: Net interest income, FY24 to FY25 (KES mn)

	FY24	FY25	Change
Interest income	170,285	173,638	+2.0%
Loans and advances	107,672	105,884	-1.7%
Government securities	56,481	60,964	+7.9%
Interest expense	61,575	46,699	-24.2%
Customer deposits	48,484	35,684	-26.4%
Bank deposits and placements	4,605	1,416	-69.3%
Net interest income	**108,710**	**126,939**	**+16.8%**

Source: Company reports, analyst calculations.

Interest income grew 2.0% while interest expense fell 24.2%, so most of the KES 18.2bn NII gain came from cheaper funding, not bigger earning assets. Part of that should last, but it is why the base case uses a 22% ROE and not 26.4%.

06 Catalysts and risks

Driver	Type	Evidence	What would change our view
Asset quality	RISK	Gross NPL ratio 8.4% (FY22), 13.6% (FY24), 11.5% (FY25). Cost of risk 1.6%.	Falling NPLs and credit costs ease it; renewed provision rises weaken the case.
Earnings sustainability	RISK	Provisions fell to KES 14.5bn from KES 20.2bn; funding costs fell sharply.	Income growth with stable credit costs helps; slower NII or higher costs hurt.
Regional exposure	RISK	Regional banks earn about half of group profit, in several currencies.	Stable currencies ease it; large currency losses or disruption add to it.
FY26 results, dividend, rates	CATALYST	FY25 DPS KES 5.75 is an 8.3% yield at KES 69, payout about 30% of EPS. Rate path and capital rules drive NII.	A strong result or higher dividend could close the valuation gap.

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07 Valuation

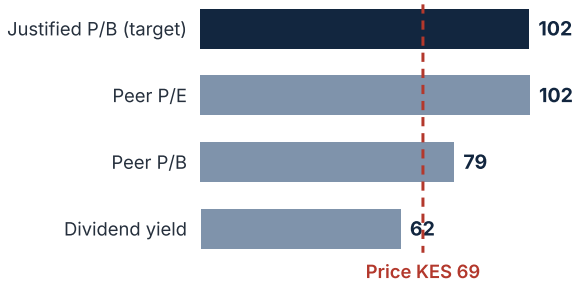
We value Equity on justified price-to-book because book equity and the return earned on it are what drive a bank's worth. Justified P/B = (ROE − g) / (COE − g). Our base case is a 22% ROE, below both the 26.4% reported for FY25 and the 23.6% FY22 to FY25 average to allow for the FY25 tailwinds, with 6% long-run growth and an 18.87% cost of equity. That gives 1.243x book, or KES 101.97 on FY25 book value of KES 82.02.

Exhibit 8: Cost of equity build (CAPM)

Input	Value
Kenyan 10-year bond yield	11.30%
Less adjusted default spread	-6.37%
Estimated risk-free rate	**4.93%**
Mature-market equity risk premium	4.23%
Kenya country risk premium	9.71%
Beta (assumed)	1.0
Cost of equity	**18.87%**

Source: Damodaran country-risk data (updated 5 January 2026), analyst calculations. Beta is assumed, not estimated. Bear / bull cases move the cost of equity by ±2 points.

Exhibit 9: Value per share by method (KES)



Source: Analyst calculations. Peer methods apply the three-bank median P/B (0.96x), P/E (5.4x) and dividend yield (9.3%) to Equity's BVPS, EPS and DPS.

The cross-checks bracket the target. Peer P/E gives KES 102 but FY25 EPS is flattered by low provisions, so we treat it as an upper bound. Peer P/B gives KES 79 and the dividend-yield method KES 62, but both ignore that Equity earns more on its book and pays out only 30% of profit. We do not average the methods into the target.

Exhibit 10: Value per share (KES) by ROE and cost of equity, g = 6%

ROE \ CoE	17.0%	18.0%	18.9%	20.0%	21.0%
14%	60	55	51	47	44
16%	75	68	64	59	55
18%	89	82	76	70	66
20%	104	96	89	82	77
22%	119	109	**102**	94	87
24%	134	123	115	105	98
26%	149	137	127	117	109

Green = above the KES 69 price; red = below. Outlined cell is the base case. At KES 69 the price is only justified if ROE falls to about 17% or lower.

Exhibit 11: Share price against the NSE 20, calendar years

	EQTY price	EQTY incl. div.	NSE 20
2022	-15.6%	-10.0%	-11.9%
2023	-24.4%	-15.4%	-10.4%
2024	+43.5%	+55.4%	+33.9%
2025	+38.2%	+47.0%	+56.1%
2022 to 2025	**+26.5%**	**+74.1%**	**+65.0%**

Source: Analyst calculations from year-end prices (31 December), which are template inputs and not re-verified. The NSE 20 is a price index, so the dividend-inclusive column is not like for like.

08 What would change our view

Move to Hold if the share price approaches the target so that the remaining upside is small, or if revised earnings expectations and valuation assumptions imply materially less upside. **Become more cautious** on (a) a renewed rise in NPLs or impairment charges; (b) slower NII growth as lower funding costs give less support; (c) weaker regional subsidiary performance, currency losses or political disruption; or (d) sustainable ROE below the 22% base case, or a higher required return that lowers justified P/B.

09 Basis of preparation and sources

This is a student and portfolio research report, not a full institutional model. It uses a single-stage justified P/B framework rather than a multi-year forecast or DCF. Beta is assumed at 1.0. The peer set is three banks and its inputs are not all independently re-verified. Some historical share prices and NSE 20 levels are template inputs and are unverified. Model ROE (PAT / average total equity, 26.4%) differs from the 26.7% reported ROAE, which is on an attributable basis. Financial figures come mainly from secondary sources (broker notes and press) and should be reconciled to the audited statements before use. Results after 31 March 2026 are excluded by design.

1. Equity Group Holdings PLC, 2025 Integrated Report and Financial Statements; FY2025 results released 18 March 2026 (investor briefing via africanfinancials.com).
2. Kenyan Wall Street, "Equity Group Posts Record KSh 75.5 Bn Profit", 18 March 2026; Citizen Digital, "Equity profit surges to Ksh75.5B as regional units contribute nearly half of earnings", March 2026.
3. Broker earnings notes for FY2022 to FY2024: Cytonn, Sterling Investment Bank, Kingdom Securities; MarketScreener press release on FY2022 results.
4. Damodaran, country risk premium data, updated 5 January 2026; peer annual reports for KCB, Co-operative Bank and NCBA.
5. Simply Wall St, Equity Group Holdings ownership page (current snapshot); NSE share-price and NSE 20 data as entered in the project workbook.

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